

Persistent into a \$2.9-billion Persistent-Nagarro Group, with approximately \$1.7 billion of revenue from North America, around \$600 million from Europe, nearly \$70 million from West Asia and Turkey, along with a presence in markets such as Japan and the Philippines.

It becomes a truly global AI-led product engineering and enterprise transformation powerhouse. Nagarro adds meaningful scale in industrials—a roughly \$400-million vertical for them, taking the combined business to about \$440 million. We also gain a significant presence in the consumer vertical, while strengthening service capabilities across SAP, Adobe, and several other areas.

Q: What specific capability and client gaps does Nagarro address for Persistent?

A: If we look at the customer bases of both companies, among the Top 200 customers, there is an

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overlap of only about 10 customers. That means we gain more than 190 customers across Europe, the West Asia, and even the US, each generating over \$1 million in revenue. Had Persistent tried to build that customer base organically, it would probably have taken us a decade or two. This is not only about cross-selling and upselling our capabilities across geographies. It also gives us the opportunity to deepen relationships with customers across industry verticals where we currently have limited exposure.

Our aspiration has been to become a \$2-billion organisation by the end of FY27, and beyond that, to build a \$5-billion company. The way we have structured the transaction is also important.

Q: What convinced you that Nagarro was the right acquisition, and how did you arrive at the valuation?

A: Nagarro is a highly respected company. We wanted to bring a respected team of technologists into the Persistent family, and that is where our interest began. Over the past couple of years, while Nagarro has remained a strong growth company, its valuation has come under pressure. Being listed in European markets also meant that technology services companies were not valued the same way they typically are in India. From a valuation standpoint, the transaction is at roughly 9X CY25 EBITDA.

Depending on where the company lands within its guidance range, the multiple works out to somewhere between 7.8x and 8.7x EBITDA, broadly around nine times based on the enterprise value we are paying.

Q: Since Nagarro’s recent growth has been slower than Persistent’s, how do you address concerns that the acquisition could dilute Persistent’s growth?

A: Over the last 24 quarters—six straight years—Persistent has consistently delivered more than 3% sequential compounded quarterly growth, regardless of whether the market environment was strong or weak. That is the same rigour we want to bring to Nagarro. But uncertainty is the bigger factor right now.

Nagarro has an excellent customer base. They have been technically very strong and have delivered outstanding customer satisfaction, among the best in the industry, according to ISG reports. Today, Nagarro’s largest customer contributes around \$45 million in revenue. At Persistent, over the years, we have perfected the art of mining customer relationships, increasing wallet share and scaling strategic accounts. That is exactly what we want to bring to the combined company.

Q: How does this acquisition strengthen Persistent’s AI and digital engineering capabilities, especially at a time when AI is reshaping the global IT services industry?

A: Persistent has been investing heavily in AI over the last several years. We have built an AI-led software development lifecycle platform called SASVA. We have developed strong capabilities across Anthropic, OpenAI, and open-source models. We also have the ability to work with enterprises to build their own AI models, enabling them to reduce dependence on frontier models where appropriate. On the Nagarro side, they have built similar capabilities not only in software development, but also in industry-specific AI solutions. The combined company gives us a much